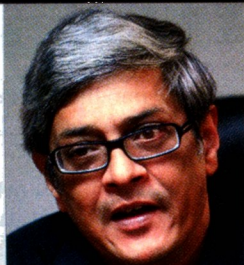




THE REPORT

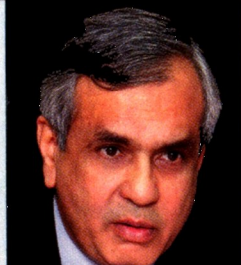
Liquidity, reforms, investment in infrastructure and education



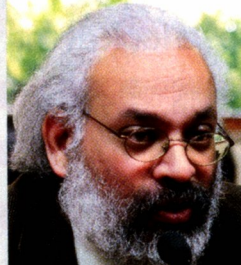
BIBEK DEBROY
Professor, Centre for
Policy Research & IMI



S. MAHENDRA DEV
Chairman,
CACP



RAJIV KUMAR
Director and Chief
Executive, ICRIER



SUBIR GOKARN
Chief Economist,
S&P's Asia Pacific



SUMAN K. BERY
Director-General,
NCAER

WHAT MEASURES SHOULD THE GOVERNMENT TAKE?

IMMEDIATE	There have been no reforms under this rule; so do nothing, do not present the budget, do not dilute the FRBM and call for poll.	Ensure liquidity and short-term lending. Credit to SMEs is vital as they contribute 31 per cent of GDP. Manage food inflation.	Improve governance. Boost investor confidence, legislate reforms. Scrap the administered petro price mechanism.	Get the money that is sitting in banks, investment in government securities to finance productive activity.	Cut interest rates on small savings, PPF gradually. Remove STT, reduce reverse repo. Announce phased reduction in SLR.
MEDIUM	Identify the poor and target subsidies. I would flag roads and electricity, and efficiency on public expenditure.	Invest in rural and farm infrastructure. Also, demographic dividend can't come sans investment in skills education.	Scrap the licensing. Do an audit or a zero budget of all the promotion councils—particularly export and small industries.	Integrate the national market via GST; provide a safety net for workers through government funding and contributions.	Raise FDI in insurance, allow FDI in retail. Introduce reforms in urban governance, private education, civil service and police.
LONG	Reform the rural sector—infrastructure, land markets, credit, insurance, input subsidies, product prices, skills.	Set right the land market. With 60 per cent of workers in agriculture, find ways to shift people to the non-farm sector.	We should have 100 DDAs for public housing. Reform education. Scrap the UGC and have multiple accreditation agencies.	Revive the reform agenda. Pump investment into infrastructure and education.	Invest in infrastructure, health and education.

FORECAST FOR 2009-2010

Inflation **5.5%**
Interest* **5%**
Rs-\$ rate **45**

Inflation **5%**
Interest **6%**
Rs-\$ rate **43-45**

Inflation **3-5%**
Interest **3.75%**
Rs-\$ rate **51**

Inflation **<4%**
Interest **6.5%**
Rs-\$ rate **44**

Inflation **5%**
Interest **6%**
Rs-\$ rate **44**

GDP GROWTH FORECAST FOR 2009-2010

5.5%

6%

5.5%

6.1%

6-7%

*Benchmark: 10-year government paper; IMI: International Management Institute; CACP: Commission for Agricultural Costs and Pricing; ICRIER: Indian Council for Research on International Economic Relations; NCAER: National Council of Applied Economic Research; IGIDR: Indira Gandhi Institute of Development Research